COLORADO LAWS & REGULATIONS · 1

Title Insurance (CO definition)

ANSWER · 1

Insuring, guaranteeing, or indemnifying owners of real property against loss or damage from liens or encumbrances upon, defects in, or the unmarketability of, the title to that property.

COLORADO LAWS & REGULATIONS · 2

Title Insurance Agent

ANSWER · 2

A person authorized by a title insurance company to solicit insurance, collect premiums, or issue/countersign policies on its behalf.

COLORADO LAWS & REGULATIONS · 3

Title Entity

ANSWER · 3

Collectively refers to title insurance agents, title insurance agencies, AND title insurance companies.

COLORADO LAWS & REGULATIONS · 4

TBD Commitment

ANSWER · 4

A report, in the form of a commitment, furnished PRIOR to receiving an application for title insurance — before the buyer, sales amount, and loan amount are known.

COLORADO LAWS & REGULATIONS · 5

Gap Coverage

ANSWER · 5

Insures against loss from matters appearing of record in the clerk & recorder's office between the date of the title commitment and the date the closing documents are actually recorded.

COLORADO LAWS & REGULATIONS · 6

Rate Filing Requirement

ANSWER · 6

Title insurance rates/fees must be filed electronically with the Commissioner, supported by justification (data), and cannot take effect earlier than 30 days after the Commissioner receives them.

COLORADO LAWS & REGULATIONS · 7

Volume Discounts

ANSWER · 7

Different title insurance rates may be filed for different counties, but NOT for different risks within the same county.

COLORADO LAWS & REGULATIONS · 8

Prohibited: Commingling

ANSWER · 8

A title entity may never commingle fiduciary funds with its own operating or personal accounts.

COLORADO LAWS & REGULATIONS · 9

Prohibited: Waiving the Rate

ANSWER · 9

A title entity cannot charge less than its filed/scheduled rate or fee, or waive it, for any client.

COLORADO LAWS & REGULATIONS · 10

Permitted: Business Meals/Events

ANSWER · 10

A title entity MAY pay for business meals or sporting events with a settlement producer only when at least one title insurance producer attends for every four settlement producers present.

COLORADO LAWS & REGULATIONS · 11

Title Commitment Requirements

ANSWER · 11

Must disclose the record vested owner, may NOT contain generic exceptions in an Owner's Policy commitment, and must be updated before closing.

COLORADO LAWS & REGULATIONS · 12

Policy Issuance Deadline

ANSWER · 12

A title entity must record closing documents within 7 days of closing and issue the final policy within 90 calendar days of closing.

COLORADO LAWS & REGULATIONS · 13

Mineral Estate Disclosure

ANSWER · 13

A title commitment for an Owner's Policy must disclose, in the commitment itself, if the mineral estate has been severed, leased, or conveyed from the surface estate.

COLORADO LAWS & REGULATIONS · 14

Record Retention

ANSWER · 14

Closing/settlement/escrow files must be retained for 7 years. A title entity must respond to a Division examination request within 10 calendar days, and to a Division inquiry within 20 calendar days.

COLORADO LAWS & REGULATIONS · 15

Good Funds Law

ANSWER · 15

Closing funds must be available for immediate withdrawal before they can be disbursed at closing.

COLORADO LAWS & REGULATIONS · 16

Insurance Commissioner

ANSWER · 16

Heads the Division of Insurance. Appointed by the Governor and confirmed by the Senate. Conducts financial exams of insurers at least once every 5 years, and market conduct exams as often as deemed appropriate.

COLORADO LAWS & REGULATIONS · 17

Commissioner's Core Powers

ANSWER · 17

Supervises the business of insurance; issues certificates of authority to title insurance companies; examines all license requests/applications; reviews insurers' annual statements; conducts examinations and investigations; disseminates general insurance information to the public; and adopts rules to ensure financial solvency and a competitive marketplace.

COLORADO LAWS & REGULATIONS · 18

Market Conduct Exams vs. Financial Exams

ANSWER · 18

Market conduct exams happen as often as the Commissioner deems appropriate (no fixed schedule). Financial exams of insurers must happen at least once every 5 years, following NAIC and the Colorado insurance examiner's handbook guidelines.

COLORADO LAWS & REGULATIONS · 19

Commissioner: Hearings & Producer Discipline

ANSWER · 19

Before the Commissioner can place a producer on probation, suspend, revoke, or refuse to issue/continue/renew a license, the producer is entitled to notice and a hearing. The Commissioner's final action is subject to judicial review.

COLORADO LAWS & REGULATIONS · 20

Cease-and-Desist Penalties

ANSWER · 20

Violating a Commissioner's cease-and-desist order carries a civil penalty of up to $10,000 per violation for an insurer, and up to $500 per violation for an individual.

COLORADO LAWS & REGULATIONS · 21

Civil Penalties for Violations

ANSWER · 21

Generally up to $3,000 per violation (capped at $30,000) — but if the insurer/producer knew or reasonably should have known the conduct violated the law, the penalty rises to up to $30,000 per violation, capped at $750,000.

COLORADO LAWS & REGULATIONS · 22

License Suspension/Revocation Grounds

ANSWER · 22

Includes misrepresentation or fraud in the application, misappropriating client funds, a felony or moral-turpitude misdemeanor conviction, cheating on the licensing exam, and failing to pay court-ordered child support or income tax.

COLORADO LAWS & REGULATIONS · 23

Title Producer Licensing Requirement

ANSWER · 23

Colorado requires NO prelicensing education AND NO continuing education for a title insurance producer license — unlike most other insurance license lines. A frequently tested distinction.

COLORADO LAWS & REGULATIONS · 24

Fiduciary Fund Timing

ANSWER · 24

A title agent must deposit fiduciary funds within 3 business days of receipt, remit premiums to the insurer within 45 days, and reconcile the escrow account at least every 45 days.

COLORADO LAWS & REGULATIONS · 25

Change of Address / Assumed Names

ANSWER · 25

A producer must notify the Commissioner of an address change within 30 days. Any assumed/fictitious business name must be registered with the Commissioner before it's used.

COLORADO LAWS & REGULATIONS · 26

Firm Naming Rule

ANSWER · 26

No title insurance agency may use "title insurance," "title guaranty," or "title guarantee" in its name unless followed by the word "agent" or "agency."

COLORADO LAWS & REGULATIONS · 27

Controlled Business

ANSWER · 27

A producer's license cannot be used chiefly to write "controlled business" — defined as when premiums from the producer's own/family/employer business exceed premiums from all other business written in a 12-month period.

COLORADO LAWS & REGULATIONS · 28

Affiliated Business Arrangements (ABAs)

ANSWER · 28

Distinct from controlled business. Permitted when a referring investor's payment is only a legitimate return on investment (not tied to referral volume), with equal ownership costs for all investors, a formal business plan, and required disclosure.

COLORADO LAWS & REGULATIONS · 29

Curative Statutes (concept)

ANSWER · 29

Colorado law sets specific time periods after which certain title defects (old liens, defective acknowledgments, adverse possession claims) are cured/extinguished of record even without a formal release — e.g., a defective acknowledgment cures after 10 years; adverse possession by mere possession (no color of title) requires 18 years.

COLORADO LAWS & REGULATIONS · 30 EXAM-STYLE

Once Colorado title insurance rates are properly filed, how long do they remain in effect?

ANSWER · 30

They remain in effect until replaced by another effective filing

Filed rates stay in effect until a new or amended filing replaces them. They do not expire on a set schedule.

Colorado requires new or amended title rates to be filed with the Division before their effective date, and a title entity may only charge a rate currently on file and effective. Historical Colorado rulemaking materials expressly explain that filed rates must be used until replaced by another rate filing.

COLORADO LAWS & REGULATIONS · 31 EXAM-STYLE

What is the minimum age to obtain a Colorado resident insurance producer license?

ANSWER · 31

18

Colorado producer license = 18 years old, no exceptions.

C.R.S. §10-2-404 requires an individual resident insurance-producer applicant to be at least 18 years old.

COLORADO LAWS & REGULATIONS · 32 EXAM-STYLE

Which of the following is included in the title insurance premium?

A. Closing and settlement service charge
B. Reasonable profit
C. An unrelated recording charge
D. Service charge for examining evidence of title

ANSWER · 32

Reasonable profit

PREMIUM = risk + cost of doing business + reasonable profit.

C.R.S. §10-11-102(5): the title insurance premium is the amount charged for assumption of the insurance risk, includes the cost of doing business and a reasonable profit, but excludes the service charge.

COLORADO LAWS & REGULATIONS · 33 EXAM-STYLE

An emergency cease-and-desist order may be issued against an unauthorized person or entity when:

ANSWER · 33

The conduct threatens significant, imminent, and irreparable harm to the public

Emergency C&D → IMMINENT + IRREPARABLE harm.

C.R.S. §10-3-904.5 permits an ex parte emergency cease-and-desist order where the person is engaging unlawfully in insurance or violating applicable rules, and the alleged conduct appears fraudulent, creates an immediate public-safety danger, or causes/can reasonably be expected to cause significant, imminent, and irreparable public injury.

COLORADO LAWS & REGULATIONS · 34 EXAM-STYLE

A title entity's payment of an outside attorney's fee, when the attorney's services are required to complete a particular transaction, is:

ANSWER · 34

A prohibited inducement under Regulation 8-1-3

Attorney performs a service → that's a settlement service. Title company PAYS a required outside attorney → prohibited inducement.

3 CCR 702-8, Regulation 8-1-3 — prohibits paying, or offering to pay, the fees of an outside professional (attorney, engineer, appraiser, surveyor) whose services are required by a settlement producer or consumer to structure or complete a particular transaction.

COLORADO LAWS & REGULATIONS · 35 EXAM-STYLE

The Colorado Commissioner of Insurance is required to:

ANSWER · 35

Supervise and enforce compliance with Colorado insurance law

Legislature MAKES law → Commissioner ENFORCES/SUPERVISES it.

C.R.S. §10-1-108 makes it the Commissioner's duty to supervise insurance business so it is conducted according to Colorado law, and to investigate violations.

COLORADO LAWS & REGULATIONS · 36 EXAM-STYLE

A title company's wire-transfer charge is considered a:

ANSWER · 36

Closing and settlement fee

WIRE = closing/settlement fee, NOT premium.

Colorado's official Title Insurance Closing and Settlement Fee Filing form specifically lists "Wire" among closing/settlement fees, along with closing fees, electronic recording, courier/express, and cashier's checks.

COLORADO LAWS & REGULATIONS · 37 EXAM-STYLE

Privacy notices applicable to Colorado insurance licensees are required under:

ANSWER · 37

Colorado Insurance Regulations

Privacy = Regulations 6-4-1 / 6-4-2.

Privacy notices are covered by Colorado Division of Insurance Regulations 6-4-1 and 6-4-2.

COLORADO LAWS & REGULATIONS · 38 EXAM-STYLE

Under Colorado law, a "title insurance entity" means:

ANSWER · 38

A title insurance agent, title insurance agency, or title company

Entity = Agent + Agency + Company (no broker).

C.R.S. §10-11-102(11) defines title insurance entity exactly as a title insurance agent, title insurance agency, or title insurance company.

COLORADO LAWS & REGULATIONS · 39 EXAM-STYLE

What must a Colorado title insurance entity make readily available for review by the public?

ANSWER · 39

Its schedule of currently effective rates and fees

PUBLIC → RATE & FEE SCHEDULE.

Colorado Regulation 8-1-1 requires every title insurance entity to make its schedule of effective rates and fees readily available for public review, covering issued title policies and closing/settlement charges, including endorsements.

COLORADO LAWS & REGULATIONS · 40 EXAM-STYLE

Which of the following is a prohibited practice for a Colorado title entity?

A. Properly disbursing the seller's proceeds under the closing instructions
B. Charging a properly filed fee for the services actually rendered
C. Recording a deed of trust with the county clerk and recorder after closing
D. Guaranteeing the performance or services of a settlement producer

ANSWER · 40

Guaranteeing the performance or services of a settlement producer

If you see "GUARANTEE performance/services of a settlement producer" → PROHIBITED.

Colorado Regulation 8-1-3 expressly prohibits a title entity from guaranteeing or offering to guarantee the performance or services of a settlement producer.

COLORADO LAWS & REGULATIONS · 41 EXAM-STYLE

When a contractual title insurance agent ceases doing business, what must happen to its closing, settlement, and escrow files?

ANSWER · 41

Deposit them with the Division, a title company, or another authorized contractual agent

TITLE FILES = 7 YEARS. Producer/agency change = 10 DAYS.

C.R.S. §10-11-116(4) — retention = at least 7 years.

COLORADO LAWS & REGULATIONS · 42 EXAM-STYLE

In Colorado, no policy of title insurance may be written until the title insurance company or its agent has completed:

ANSWER · 42

A reasonable examination of the title

Before any policy → EXAMINATION of title. Never survey, inspection, or DOI approval.

C.R.S. §10-11-106 — no policy shall be written unless and until the company has caused a reasonable examination of title to be conducted and a determination of insurability made in accordance with sound underwriting practices. The same statute requires evidence of that examination be kept at least 7 years.

COLORADO LAWS & REGULATIONS · 43 EXAM-STYLE

Under Colorado rules, when may a title entity pay an outside professional, such as an attorney, in connection with a transaction?

ANSWER · 43

Only for services actually rendered to the title entity, at fair market value

Paying the OTHER side's required professional = prohibited inducement. Paying fair value for real work actually done for YOU = allowed.

3 CCR 702-8, Regulation 8-1-3; "services rendered by an attorney" are themselves a settlement service under C.R.S. §10-11-102(6.7).

COLORADO LAWS & REGULATIONS · 44 EXAM-STYLE

How many calendar days does a title entity have to respond to an inquiry from the Commissioner of Insurance?

ANSWER · 44

20

EXAMINATION request = 10 days. INQUIRY = 20 days. If 10 isn't offered as a choice, they're asking about the inquiry.

Colorado Regulation 1-1-8 (3 CCR 702-1), Section 5: Examination Request forms = 10 calendar days; any other Division inquiry = 20 calendar days, unless the Division sets a different time in writing.

COLORADO LAWS & REGULATIONS · 45 EXAM-STYLE

When issuing a standard title insurance policy, the title entity is responsible for:

ANSWER · 45

Conducting a reasonable examination of title and determining insurability

The title entity's core duty on every policy: SEARCH, EXAMINE, DETERMINE INSURABILITY. Never inspect, appraise, or guarantee value.

C.R.S. §10-11-106 — reasonable examination of title plus a determination of insurability in accordance with sound underwriting practices.

COLORADO LAWS & REGULATIONS · 46 EXAM-STYLE

A title agency flies two real estate brokers to a golf tournament in the mountains. This practice is considered:

ANSWER · 46

An inducement

If the answer choices include INDUCEMENT and the title company gave a settlement producer something of value, that's the answer. "Gift for referrals" is never correct.

Regulation 8-1-3 — a title entity may not contribute fees, prizes, gifts, or other things of value to a settlement producer.

COLORADO LAWS & REGULATIONS · 47 EXAM-STYLE

Charging less than the filed and effective rate is considered:

ANSWER · 47

A rebate

Undercutting your own filed rate isn't a discount — it's a REBATE, and it's prohibited.

Regulation 8-1-3 (may not charge less than the scheduled rate or fee, or waive a rate or fee); rebate provisions under the unfair-practices statutes.

COLORADO LAWS & REGULATIONS · 48 EXAM-STYLE

A title insurance producer license allows the licensee to:

ANSWER · 48

Write title insurance

The license = permission to WRITE TITLE INSURANCE. Not a law license, not a notary commission.

C.R.S. §10-2-401 et seq. (license required to sell, solicit, or negotiate insurance); C.R.S. §10-11-102(2) defines the business of title insurance.

COLORADO LAWS & REGULATIONS · 49 EXAM-STYLE

When must an insurance producer register an assumed or fictitious business name with the Commissioner?

ANSWER · 49

Prior to using the name

Assumed name → BEFORE you use it. Address change → 30 days AFTER. Producer/agency change → 10 days.

Colorado assumed-name rules — must register any assumed or fictitious name under which the producer conducts business with the Commissioner prior to using the name.

COLORADO LAWS & REGULATIONS · 50 EXAM-STYLE

Upon cessation of business, within what period must the agency return the producer license to the Commissioner?

ANSWER · 50

10 days

Cease business → LICENSE back in 10 DAYS, FILES deposited (and kept 7 years). Don't merge those two numbers.

C.R.S. §10-2-406 (licensing of agencies); file deposit/retention under C.R.S. §10-11-116(4).

COLORADO LAWS & REGULATIONS · 51 EXAM-STYLE

A husband and wife own property as joint tenants. One spouse dies. What is the simplest method to establish the surviving spouse's title?

ANSWER · 51

Record a death certificate and supplementary affidavit with the clerk and recorder

Joint tenant dies → DEATH CERTIFICATE + SUPPLEMENTARY AFFIDAVIT. No probate, no deed.

C.R.S. §38-31-102. The supplementary affidavit must be sworn by an adult with personal knowledge, describe the property, and tie the decedent to the joint tenancy deed. Once recorded, the two documents are prima facie proof of the joint tenant's death. If no death record can be obtained, §38-31-103 allows a substitute affidavit from two or more adults with personal knowledge and no record interest in the property.

COLORADO LAWS & REGULATIONS · 52 EXAM-STYLE

Under Colorado law, a mechanic's lien generally cannot continue to hold the property beyond how many months unless an enforcement action is commenced and notice is recorded?

ANSWER · 52

6 months

ENFORCE a mechanic's lien → 6 MONTHS (sue AND record notice). FILE the lien statement → 4 months.

C.R.S. §38-22-110, titled "Action commenced within six months." Do not confuse it with the lien statement filing deadline in §38-22-109 — generally 4 months, or 2 months for a laborer. Where several liens are of record, one claimant's timely suit and recorded notice can preserve the others, provided all lien claimants of record are named as parties.

COLORADO LAWS & REGULATIONS · 53 EXAM-STYLE

A contractor has begun construction on a property, and excavation and footings have been completed before the construction loan is made. What is the correct action regarding title insurance?

ANSWER · 53

Issue the policy with an indemnity agreement for lien risk

Work started BEFORE the loan recorded → liens relate back → get an INDEMNITY.

C.R.S. §38-22-106(1) — mechanic's liens relate back to the time work commenced (under the owner's contract with the first contractor, or the start of work on the improvement if there is no written contract). A deed of trust recorded after work has begun is therefore generally junior to those liens, which is why construction lenders and title companies treat visible work before recording as a red flag.

COLORADO LAWS & REGULATIONS · 54 EXAM-STYLE

A builder discount on title insurance is permitted when:

ANSWER · 54

It is properly filed and justified with the Insurance Commissioner

Any discount must be FILED and JUSTIFIED, then applied to everyone who qualifies.

Colorado rate law requires rates that are not excessive, inadequate, or unfairly discriminatory, and requires rates — including any discount — to be filed with the Division of Insurance before use.

COLORADO LAWS & REGULATIONS · 55 EXAM-STYLE

If an insurance agent falsely represents that purchasing an insurance policy is equivalent to purchasing stock in the insurance company, what type of violation might this be?

ANSWER · 55

Misrepresentation

Policy = stock? → MISREPRESENTATION. Lie to make them switch → TWISTING. Give value to close → REBATING.

C.R.S. §10-3-1104(1)(a) — misrepresentation and false advertising of insurance policies is an unfair or deceptive practice, including misrepresenting a policy as a security.

COLORADO LAWS & REGULATIONS · 56 EXAM-STYLE

What is NOT correct about notifying the Colorado Insurance Commissioner of an address change?

A. Notification must be in writing
B. Notification must be made within 30 days
C. Notification must be made by telephone
D. Failure to provide notification may be grounds for a penalty

ANSWER · 56

Notification must be made by telephone

Address change → IN WRITING, within 30 DAYS. Never by phone.

C.R.S. §10-2-412. Note the nearby deadlines that are easy to mix up: a licensed agency must report changes to its licensed producers, name, officers, or owners within 10 days (§10-2-406), and a license must be surrendered within 15 days when a licensee stops being a Colorado resident (§10-2-802).

COLORADO LAWS & REGULATIONS · 57 EXAM-STYLE

Under Colorado law, which of the following violates fiduciary responsibility?

A. Remitting premiums to the insurer after deducting an authorized commission
B. Listing premiums held in trust accounts as the producer's own assets
C. Earning interest on premiums held in trust accounts
D. Remitting a return premium to the insured when the policy is cancelled

ANSWER · 57

Listing premiums held in trust accounts as the producer's own assets

Fiduciary funds are NEVER your assets. Commingling is the violation.

Colorado requires premiums and other funds received in a fiduciary capacity to be held in that capacity and accounted for separately — never treated as, or reported as, the producer's own funds.

COLORADO LAWS & REGULATIONS · 58 EXAM-STYLE

A title company has two agents in the same county charging different rates for the same coverage and the same risk. What is this considered?

ANSWER · 58

Unfairly discriminatory

Same risk + same coverage + different price = UNFAIRLY DISCRIMINATORY.

Colorado rate law requires rates that are not excessive, inadequate, or unfairly discriminatory. "Unfairly discriminatory" is the statutory term, and that is the phrase the exam is testing.

YOUR OWN CARD

ANSWER

YOUR OWN CARD

ANSWER